

OneSource Specialty Pharma Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: ONESOURCE · BSE: 544292 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: OneSource is a **CDMO** — a contract development and manufacturing organisation, meaning it does not sell medicines under its own brand; it *makes them for other drug companies*, who then sell them. Its speciality is **drug-device combinations (DDC)**: filling a drug into a glass cartridge and assembling that cartridge into a pen or auto-injector the patient uses at home. Its biggest opportunity is filling generic **GLP-1** drugs — the weight-loss and diabetes class that includes semaglutide (sold by the innovator as Ozempic and Wegovy) — into pens as those drugs come off patent country by country. It also runs three other lines of business: **sterile injectables** (drugs in vials and syringes, including one of the few US-approved penicillin plants in the world), **biologics** (medicines grown in living cells rather than mixed chemically), and **soft-gelatin capsules**. The company was carved out of Strides Pharma and listed on the Indian exchanges in **January 2025**.

Measure	Value	What it means in plain words
Market cap	₹17,872 cr	What the stock market says the whole company is worth today, at ₹1,560 a share.
Q1 FY27 revenue	₹449 cr	Sales in the June 2026 quarter — up 37% on the same quarter last year. The best quarter the company has reported.
Q1 FY27 EBITDA	₹123 cr (27%)	EBITDA = operating profit before interest, tax and depreciation. 27 paise of operating profit per rupee of sales — up 39% on last year and 34% on the prior quarter.
FY26 revenue	₹1,422 cr	Full year to March 2026 — down 2% on FY25. The year went backwards.
FY26 bottom line	–₹74 cr loss	A consolidated net loss. The company has never yet made a full-year consolidated profit.
Borrowings (Mar 26)	₹1,504 cr	Debt. Up 60% from ₹942 cr a year earlier — the opposite of the "debt-free by FY27" the CFO promised at listing.
Free cash flow FY26	–₹421 cr	Cash burned after capital spending. The business is funding a large build-out, not generating spare cash.
ROCE / ROE	2.1% / 0.5%	Return on capital and on shareholders' money. Near zero — partly real, partly because a ₹3,827 cr accounting goodwill from the demerger sits on the balance sheet.
Debtor days	191 days	Customers take over six months to pay, up from 124 days. Cash is stuck in unpaid bills and pre-launch inventory.
Promoter holding	30.5%	Down from 37.8% in Dec 2024. Indian institutions have picked up the slack, rising 12.6% → 23.4%.

Standalone vs consolidated — this matters here. The two sets of accounts diverge materially at the bottom line. On a *standalone* basis FY26 shows a **profit of ₹21 cr**; on a *consolidated* basis (parent plus subsidiaries, the fuller picture) the same year is a **loss of ₹74 cr**. This report uses consolidated throughout, which is also the basis management quotes on the calls.

2 Concall coverage

Quarter	Call date	Transcript read?
Q3 FY25	29 Jan 2025	Yes — the company's <i>first-ever</i> earnings call, weeks after listing
Q4 FY25	6 May 2025	Yes
Q1 FY26	5 Aug 2025	Yes

Q2 FY26	12 Nov 2025	Yes
Q3 FY26	24 Jan 2026	Yes
Q4 FY26	13 May 2026	Yes
Q1 FY27	25 Jul 2026	Yes — latest call, read in full ★

Coverage caveat — read this before the analysis. The history is very short. OneSource was demerged from Strides Pharma and listed in January 2025. There are therefore **only seven earnings calls in existence**, spanning about eighteen months. All seven have transcripts and all seven were read; there is no earnings call with a missing transcript. Screener lists one additional "Sep 2025" document row, but that is a slide deck filed for investor group meetings with JP Morgan and Investec on 25 and 29 September 2025 — not an earnings call, so nothing is missing there. **What this means for the reader:** a promised-versus-delivered judgement normally rests on three years and twelve calls. Here it rests on eighteen months and seven. Two full-year guidance cycles have not yet run their course, and the company's flagship FY28 target is still two years out. Any consistency verdict below is provisional by construction, and should be re-tested each quarter.

★ Latest concall highlights — Q1 FY27 (call held 25 July 2026)

- **The first quarter where the GLP-1 story shows up in the accounts.** Revenue ₹449 cr, up 37% on a year ago; EBITDA ₹123 cr, up 39% on the year and 34% on the prior quarter, at a 27% margin. Management had promised sequential quarter-on-quarter improvement and, this once, delivered it. Reason given: mix — more high-margin drug-device work.
- **Canada and India are now real commercial revenue, not slideware.** All three generic semaglutide approvals granted in Canada — the largest off-patent market in the world for the drug — are for product made at OneSource, and two of those partners have launched. In India, management says more than 40% of all generic semaglutide pens sold in June 2026 were made at its site.
- **Capacity is finally about to multiply — but hasn't yet.** Only one cartridge line was running during the quarter and it was completely full. A second line is due to be commercialised "in this quarter" (Q2 FY27), doubling available sterile production days from about 225 a year to 450. A third arrives within FY27 (675 days for FY28) and a fourth later in FY28. Roughly 80% of the announced US\$100m capital-spending programme is now committed.
- **A key customer has stopped supplying — and management says it doesn't matter.** Dr Reddy's, publicly one of OneSource's anchor GLP-1 partners, announced a temporary supply disruption. The CEO's answer was that other customers pulled their demand forward, so "our available capacities are full." That is plausible given the customer spread, but it is management's assertion, not something the reader can verify from outside.
- **Beyond GLP-1, genuinely good news items.** A new biologics customer, Formycon (a European biosimilars developer); two customers achieved first-to-file status in the US on tirzepatide (the Mounjaro molecule); nine product launches and six new customers in the quarter; twelve successful regulatory and customer inspections including **two surprise US FDA audits** passed. The FY28 target of US\$400m revenue at a 40% EBITDA margin was reiterated unchanged.

Business mix & capacity. Segment split: not disclosed — and deliberately so. Management has refused, on every single call, to break revenue down between drug-device, biologics, injectables and soft-gel, citing customer confidentiality. The only quantitative crumb ever given came in May 2026, when the chairman said the soft-gel and injectables base businesses together are "trending closer to the US\$100 million mark" — roughly ₹880 cr of FY26's ₹1,422 cr, implying drug-device plus biologics is around ₹550 cr. *Plain read: you cannot independently size the GLP-1 engine; you are taking it on trust.*

Geography: also not disclosed. Pricing is volume-based and explicitly geography-agnostic, and all contracts are ex-works (the customer collects at the factory gate and bears freight and tariffs) — so tariff and shipping risk sits with customers, not OneSource. **Drug-device capacity: one live cartridge line, ~225 sterile production days a year, 100% utilised and fully committed.** Line two is installed and qualifying, live from Q2 FY27; line three by end-FY27; line four later in FY28. *Plain read: the whole thesis rests on lines that are not yet producing.* A second lever is batch size — the original line is capped at 200 litres (about 60,000 pens a day) while the new lines can run 500 to 1,000 litres, lifting output per day by 2.5x or more, subject to regulatory sign-off. **Soft gel: capacity tripled from 800 million to 2.4 billion capsules; utilisation not disclosed** — an analyst asked directly on the latest call and did not get a number, only that the added capacity will be "completely taken over the next 12 to 15 months" and that a greenfield site has been initiated. **Pre-filled syringes: "most of it is available"** — i.e. largely idle. **Biologics: 4,000 litres mammalian plus 1,000 litres microbial**, with expansion flagged as needed. **Injectables: demand exceeds capacity**, and the Bangalore general-injectable site takes a multi-month

shutdown across Q2 and Q3 FY27 to add freeze-drying and syringe capability — a near-term revenue drag management has flagged in advance.

★ 3. Earning-trigger thesis

The story is unusually concrete for a small company. Generic semaglutide is coming off patent market by market, and every one of those pens needs a specialised sterile line to fill the cartridge and a device line to assemble the pen. OneSource built that capability years before the rush, and the evidence that it is genuinely ahead is not management rhetoric but third-party fact: **all three** Canadian generic approvals are from its site, it makes over 40% of India's generic pens, and two of its customers won US first-to-file status on the next molecule. Around twenty customers are contracted, many with take-or-pay terms, reservation fees or direct participation in the capital spending, and roughly ₹250 cr of customer cash advances sit on the balance sheet. **The catch is arithmetic.** One line was running in Q1 FY27 and it was full. The FY28 target of US\$400m needs revenue to roughly 2.4x from FY26's US\$167m, and that depends entirely on lines two, three and four arriving on time and being filled. The trigger is real and now visible in the numbers; it is not yet *proven at scale*, because the scale does not exist yet.

Trigger	What management said	Evidence so far	Horizon	Strength
Generic GLP-1 pen filling & assembly	Pioneer position; ~20 contracted customers; "who's who of global generics"; end-to-end fill, assemble, pack — "no one" else does all of it.	Verified externally: 3 of 3 Canadian approvals, >40% of India's generic pen market, 2 US first-to-file customers. Q1 FY27 revenue +37%, margin 27%.	Now → 3 yrs	Strong The one claim confirmed by outside evidence.
Capacity ramp (lines 2, 3, 4)	Sterile days 225 → 450 in Q2 FY27 → 675 by FY28; new lines take batch size from 200L to 500–1,000L.	Line 2 installed and qualifying but not yet commercial at the date of this call. Timelines have already slipped twice (see §4).	1–2 yrs	Moderate Real spend, ~80% committed — but unproven delivery.
Contracted order book	"Order book visibility is very clear"; take-or-pay, reservation fees, customer capex participation; ~₹250 cr of customer advances held.	The advances are real and on the balance sheet. But in Jan 2026 the company <i>chose not to enforce</i> take-or-pay when customers were delayed — so the contracts bind less tightly than they sound.	1–3 yrs	Moderate Contracted, but softer than the word implies.
Biologics	RFP funnel 4x a year ago; new customers Formycon, a US biosimilar major, an animal-health player; "very sticky, long legs."	Customer wins are announced and named. But management states plainly that commercial manufacturing revenue starts FY29 onwards ; before that it is development fees.	3–5 yrs	Moderate Credible, but outside the FY28 window.
Soft gel as a CDMO	Capacity tripled to 2.4bn capsules; full "in 12–15 months"; greenfield already initiated; first oncology NDA won.	Weakest evidence in the report. An analyst noted the business has stayed around ₹550 cr despite the 3x capacity. Utilisation was asked for twice and never given.	1–3 yrs	Weak Capacity built, demand not yet demonstrated.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q3 FY25 (Jan 26)	"We aim to be debt free before end of financial year '27." Capex of US\$100m largely from internal accruals and customer money — "we don't need to borrow."	Borrowings went ₹571 cr (FY24) → ₹942 cr (FY25) → ₹1,504 cr (FY26) . The CFO restated the goal to "net debt free in 2–3 years" in May 2025, then replaced it with a "below 1.5x debt-to-EBITDA" metric from Aug 2025. Capex is now explicitly "fully funded through incremental borrowings."	Missed

Q3 FY25 (Jan 25)	Cartridge capacity 40 million units today, rising 5x to 220 million in 3–4 years.	By Nov 2025 the chairman conceded 40 million installed is only "15 to 20 million" deliverable, and the company then switched its disclosure entirely to "sterile days." The headline 220-million figure has quietly disappeared from the narrative.	Walked back
Q4 FY25 (May 25)	FY26 a "transition year", H1 soft and H2 strong; Phase-1 capacity concluding "towards the end of the year"; commercial semaglutide supplies from Q4 FY26.	Half right, and honestly flagged. H1 was as guided. But H2 was <i>worse</i> , not stronger: Q3 FY26 revenue fell to ₹290 cr with a ₹89 cr loss when Canadian approvals slipped. Line two did not conclude in CY2025.	Partly
Q1 FY26 (Aug 25)	Capex accelerated — all 200m+ units of capacity "up and qualified by end of calendar 2026", a year early. Proposed related-party purchase of Steriscience Poland and Brooks Baroda; FY28 outlook raised to US\$500m revenue and US\$200m EBITDA.	Both reversed. Capacity guidance slipped back to "end FY27" by Jan 2026 and is now "three lines by end FY27, fourth in FY28." The acquisition — approved by SEBI and the exchanges in Feb 2026 — was shelved in May 2026 after smaller shareholders objected on valuation, taking the US\$500m outlook off the table with it.	Reversed
Q2 FY26 (Nov 25)	Unusual candour: "our numbers may not necessarily reflect the true nature of the work... I'm not sure what we're going to report next quarter." No annual guidance given, deliberately.	The warning was accurate. Q3 FY26 came in badly and nobody was blindsided. Refusing to guide a year they could not control, and saying so in advance, is the strongest governance mark in this record.	Delivered
Q3 FY26 (Jan 26)	"Take-or-pay is take-or-pay" (Nov 25) → in Jan 26, take-or-pay obligations deferred for delayed partners in exchange for longer contract tenures; enforced only "with some."	A defensible commercial choice, but it materially changes what investors were told the contracts guaranteed. The revenue those contracts implied simply moved out.	Softened
Q4 FY26 (May 26)	Sequential quarter-on-quarter improvement in revenue and EBITDA from here; line two live "next quarter"; FY28 US\$400m at 40% margin reaffirmed.	Q1 FY27 delivered the sequential improvement — revenue +7% and EBITDA +34% on Q4. Line two is still "this quarter" as of the July call, i.e. on schedule but not yet done.	Delivered (so far)
All calls (2025–26)	Compliance and regulatory track record is the company's core asset.	Genuinely delivered and independently verifiable: 49 regulatory and customer audits cleared in FY26, US FDA establishment reports received, EU GMP renewed at two sites, ANVISA and Health Canada clearances, and two surprise FDA inspections passed . Twelve more inspections cleared in Q1 FY27.	Delivered

Narrative drift. The *strategy* has not drifted at all — four modalities, drug-device first, biologics as the long game, and a single FY28 number of US\$400m at 40% margins that has been repeated verbatim on all seven calls without once being cut. That is genuinely rare, and it survived a quarter that lost money. What *has* drifted is everything measurable underneath it. The capacity metric changed from cartridge units to sterile days after the unit number proved embarrassing; the deleveraging promise mutated from "debt free by FY27" to a leverage ratio while debt grew 60%; the FY28 number was raised to US\$500m in August 2025 and quietly returned to US\$400m nine months later when the related-party deal collapsed; and take-or-pay went from an iron guarantee to a negotiable courtesy. Set against that is one genuinely creditable pattern: this management warns before it disappoints. They refused to guide FY26 and FY27, said explicitly in November 2025 that the next quarter might look bad, and it did. They are over-optimistic on *timing* and on the balance sheet, but they have not so far dressed up a bad result after the fact.

5 Bottom line — two verdicts

Durable earning trigger? → YES

This is one of the clearer earning triggers in the Indian small-cap pharma space, and it is confirmed by facts outside management's control. Every one of the three generic semaglutide approvals granted in Canada — the biggest off-patent market in the world for the drug — is for product made on OneSource's line. More than 40% of India's generic GLP-1 pens sold in June 2026 came out of its site. Two of its customers hold US first-to-file status on tirzepatide. Around twenty of the world's largest generic companies are contracted, several of them having paid cash up front for capacity, and roughly ₹250 cr of that cash is sitting on the balance sheet. Q1 FY27 is the first quarter this shows up in the accounts: revenue up 37%, EBITDA up 39%, a 27% margin, off a **single** production line running flat out. The reason this is a Yes rather than a Maybe is that a genuine capacity constraint, not weak demand, is what has been holding the numbers down — and three more lines arrive over the next eighteen months, each roughly doubling then tripling available production days, with batch sizes able to go 2.5x on top. **What must be watched:** the US\$400m FY28 target requires revenue to roughly 2.4x from FY26 in two years, and every rupee of that depends on lines that are qualifying rather than producing. Debt at ₹1,504 cr and free cash flow of –₹421 cr mean the ramp has to arrive; there is no margin for a second Canada-style delay.

Management consistent? → MAYBE

Read this verdict alongside the coverage caveat: there are only seven calls and eighteen months of record, so this is a provisional read, not a settled one. On **strategy and on quality** the record is good. The four-modality structure and the FY28 target have not moved once across every call, including the quarter they lost ₹89 cr. The compliance record is not a claim but a fact — 49 audits cleared in FY26, two surprise FDA inspections passed, EU GMP renewed, and that is precisely the asset a CDMO sells. And they warn honestly: they declined to give FY26 and FY27 guidance because approvals were outside their control, said in November 2025 that the next quarter might look poor, and it did. On **everything numerical, however, they have been repeatedly wrong in the same optimistic direction.** "Debt free before end FY27" became ₹1,504 cr of borrowings, up 60% in a year, and the promise was quietly restated as a leverage ratio. The flagship "220 million cartridges" was conceded to be 15–20 million deliverable and then dropped from the disclosure entirely in favour of a different unit. Capacity completion slid from end-2025 to end-2026 to end-FY27. The FY28 outlook was raised to US\$500m and withdrawn nine months later. Take-or-pay contracts, sold hard as binding, were not enforced when tested. None of that is dishonest, and much of it reflects a genuinely unpredictable regulatory environment — but it is a consistent pattern of the timeline and the balance sheet being worse than promised. A strong trigger and an unproven delivery record can coexist, and here they do. Two more quarters of the lines arriving when promised would move this to Yes; another slip should move it to No.

Sources: All seven OneSource Specialty Pharma Ltd earnings-call transcripts filed with BSE/NSE since listing — Q3 FY25 (29 Jan 2025), Q4 FY25 (6 May 2025), Q1 FY26 (5 Aug 2025), Q2 FY26 (12 Nov 2025), Q3 FY26 (24 Jan 2026), Q4 FY26 (13 May 2026) and Q1 FY27 (25 Jul 2026) — sourced from Screener.in; Screener.in consolidated and standalone financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding).

A note on the numbers: figures are *consolidated*, which is the basis management quotes (Q1 FY27 revenue ₹449 cr, EBITDA ₹123 cr). Screener's headline quarterly table is *standalone* and shows ₹446 cr and ₹114 cr for the same quarter. The two diverge sharply at the full-year bottom line — FY26 standalone profit ₹21 cr against a consolidated loss of ₹74 cr — so the consolidated view is used throughout.